

Power and Authority

- **Power** – Ability of individuals or groups to influence the beliefs and actions of other persons or groups.
- **Authority** – The right of a person occupying a position to exercise discretion in making decisions.

Types of Power

- **Legitimate Power** – Power derived from an individual's position or role within an organization. It comes from formal authority.
- **Reward power** – Power based on the ability to provide rewards or incentives to others for compliance or performance.
- **Coercive power** – Power that relies on the ability to impose penalties or punishments for non-compliance.
- **Expert power** – Power that arises from an individual's knowledge, skills, or expertise in a particular area.
- **Referent power** – Power based on personal traits, charisma, or the ability to inspire admiration and respect from others.
- **Informational power** – Power that comes from possessing and controlling access to valuable information.
- **Connection Power** – Power that stems from having a network of influential relationships or connections.

Empowerment

Empowerment – Employees at all levels in the organization are given the power to make decisions without asking their superiors for permission.

- Both delegation and empowerment are a matter of degree:
 - Power should be equal to responsibility ($P=R$)
 - Power is greater than responsibility ($P>R$): Autocratic behaviour of the superior.
 - Responsibility is greater than power ($R>P$): Frustration

Line/Staff Concepts and Functional Authority

- **Scalar principle:** The clearer the line of authority, the clearer will be the responsibility for decision-making and the more effective will be the responsibility for decision-making and the more effective will be organizational communication.
- **Line authority** – The relationship in which a superior exercises direct supervision over a subordinate.
- The nature of **‘staff relationship’** is advisory. The function of people in a pure staff capacity is to investigate, research, and give advice to line managers.
- **Functional authority** – The right delegated to an individual or a department to control specified processes, practices, policies, or other matters relating to activities undertaken by persons in other departments. E.g., controller is given functional authority to prescribe system of accounting throughout the system.
- “Line or Staff? What is your Career Goal?”

Decentralization of Authority

Decentralization – tendency to disperse decision-making authority in an organized structure.

- Complete centralization – Authority not delegated
- Complete decentralization – authority delegated
- Different kinds of centralization
 - Centralization of performance – pertains to geographic concentration. Eg. A company operating in a single location.
 - Departmental centralization – concentration of specialized activities, generally in one department. E.g., maintenance for a whole plant may be carried out by a single department.
 - Centralization of management – it is the tendency to restrict delegation of decision-making. i.e. a high degree of authority is held by managers at or near the top of the organizational hierarchy.

Decentralization as a Philosophy and Policy

- Decentralization requires careful selection of which decisions to push down the organization structure and which to hold near the top, specific policy making to guide the decision-making, proper selection and training of people, and adequate controls.
- A policy of decentralization affects all areas of management and can be looked upon as an essential element of a managerial system. In fact, without it managers could not use their discretion to handle the ever-changing situations they face.
- Decentralization requires trust in their organization, and thus the values of the organization can impact the validity of a decentralized policy and structure.

Delegation of Authority

Authority is delegated when a superior gives a subordinate discretion to make decisions. Clearly, superiors cannot delegate authority they do not have, whether they are board members, presidents, vice presidents, or supervisors.

The process of Delegation

It involves

1. Determining the results expected from a position.
2. Assigning tasks to the position
3. Delegating authority for accomplishing these tasks, and
4. Holding the person in that position responsible for the accomplishment of the tasks.

The art of delegation

- Most failures in effective delegation occur not because managers do not understand the nature and principles of delegation but because they are unable or unwilling to apply them.
- Delegation is, in a way, an elementary act of managing.
- Studies, invariably find that poor or inept delegation is one of the causes of managerial failures. Much of the reason lies in personal attitudes towards delegation.

Personal Attitudes towards delegation

- **Receptiveness** – An underlying attribute of managers who will delegate authority is a willingness to give other people's ideas a chance.
- **Willingness to let go** – A manager who will effectively delegate authority must be willing to release the right to make decisions to subordinates.
- **Willingness to allow mistakes by subordinates** – A subordinate must be allowed to make some mistakes and their cost must be considered an investment in personal development.
- **Willingness to trust subordinates** – Superiors have no alternative to trusting subordinates, for delegation implies a trustful attitude between them.
- **Willingness to establish and use broad controls** – Reluctance to delegate and to trust subordinates comes from the superior's inadequate planning and understandable fear of loss of control.

Overcoming weak delegation

- Define assignments and delegate authority in light of results expected.
- Select the person in light of the job to be done.
- Maintain open lines of communication. Decentralization should not lead to insulation.
- Establish proper controls. Because no manager can relinquish responsibility, delegation should be accompanied by techniques for ensuring that the authority is properly used.
- Reward effective delegation and successful assumption of authority.

Effective Organizing and Organization Culture

- In organizing, there is no one best way; it depends on the specific situation.
- Lyndall Urwick – “Lack of design in organizations is illogical, cruel, wasteful, and inefficient.” Emphasizing the importance of objectives and orderly planning for good organization.

Avoiding Mistakes in Organizing by Planning

- **Planning for the ideal** - charting the *main lines of organization*, considering the organizational philosophy of the enterprise managers (*delegation*), and sketching out consequent *authority relationships*.
- **Modification for the Human Factor** - If the available personnel do not fit into the ideal structure and cannot or should not be pushed aside, the only choice is to *modify the structure to fit individual capabilities, attitudes, or limitations*.
- **Advantages of Organization Planning** - Organization planning *can disclose weakness. Duplication of effort, unclear lines of authority, overlong lines of communication, excessive redtape, and obsolete practices* show up best when desirable and actual organization structures are compared.

Ensuring Understanding of Organizing

- Organizing in an entrepreneurial context often refers to the initial steps that the founders of a new venture take to legally establish the organization.
- This organizational step is essential as the new venture does not officially exist until it has some governmental recognition of its status.
- This means that the founders and managers of the organization must take certain legal steps to establish the venture.
- New businesses may take one of several legal forms.
- These legal forms normally fall into one of three categories: a sole proprietorship, a partnership, or a corporation.

Sole Proprietorship

- John Smith forms “ABC” company as a sole proprietorship for doing business, but the law recognizes that ABC company is an extension of John Smith, and he is therefore, personally responsible for all its affairs.
- The sole proprietorship is a common legal form of business as it is easy and inexpensive to form.
- It does not provide a mechanism for raising significant amounts of capital nor does it provide for limits of business liability for the entrepreneur/founder.

Partnership

- A business entity is formed by two or more founders, and share the profit and liability of the organization.
- Organizing a business as a partnership has benefits in that the partners share the costs and bring unique talents and resources to the business. However, all partners are equally responsible for the liabilities of the enterprise.
- A partnership agreement should be written to clearly delineate the responsibilities of all partners.

Corporation

- A corporation is ideal for organizations that need to raise significant amounts of equity capital.
- As a corporation is a separate legal entity from the owners, portions (stock) of the corporation can be sold for cash to finance the operations and investment of the company.
- Further, as the corporation is a separate legal entity, the owners are not liable for the debts of the corporation beyond their own equity ownership.

Teaching the Nature of Organizing

- If an organization structure is put into written words and charts, it has a better chance of being clear than if it is not.
- Even the best-written words and charts do not always clearly convey the same meaning to every reader, so effective managers cannot stop with written clarification.
- They must teach those in their operation the meaning of the organization structure, their position in it, and the relationships involved.
- Managers may do this by individual coaching, through staff or special meetings, or by simply watching how the structure works.

The Grapevine

- Informal organization tends to pass on information – sometimes only gossip – that is in some way connected with the enterprise.
- Information is regarded as confidential, or because formal lines of communication are inadequate to spread it, or because it is of the kind that would never be formally disclosed.
- Since all forms of informal organization serve essential human communication needs, the grapevine is inevitable and valuable.

Benefits of the Informal Organization

- Informal organization brings a kind of cohesiveness to formal organization.
- It imparts to members of a formal organization a sense of belonging, status, self-respect, and satisfaction.
- Many managers, understanding this fact, consciously use informal organizations as channels of communication and moulders of employee morale.

Promoting an Appropriate Organization Culture

Environment A	Environment B
Planning	
Goals are set in an autocratic manner. Decision-making is centralized	Goals are set with a great deal of participation. Decision-making is decentralized.
Organizing	
Authority is centralized. Authority is narrowly defined.	Authority is decentralized. Authority is broadly defined.
Staffing	
People are selected on the basis of friendship. Training is in a narrowly defined speciality.	People are selected on the basis of performance criteria. Training is in many functional areas.
Leading	
Managers exercise directive leadership. Communication flow is primarily top-down.	Managers practice participative leadership. Communication flow is top-down, bottom-up, horizontal, and diagonal.
Controlling	
Superiors exercise strict control. Focus is on financial criteria.	Individuals exercise a great deal of self-control. Focus is on multiple criteria.

Defining Organization Culture

Organization Culture – The general pattern of behaviour, shared beliefs, and values that organization members have in common.

- IBM wants to be known for its service
- Sears for quality and price
- Caterpillar for its 24-hour part service
- RINL for world class steel
- SBI as banker for every Indian.

The influence of the Leader on Organization Culture

- **Value** – A fairly permanent ***belief*** about what is appropriate and what is not, that guides the actions and behaviour of employees in fulfilling the organizations aims.
- SBI has its value ingrained in financial inclusion.

Staffing

Human Resource Management and Selection

- Rensis Likert - “human resource accounting” – A system for maintaining human assets
- “Likert Scale”

Definition of Staffing

- Staffing – Filling and keeping filled positions in organization structure.
- Staffing is a separate managerial function for several reasons:
 - Staffing requires not just setting up a structure of roles but also giving attention to filling these roles.
 - Staffing lays emphasis on the human element in personnel selection, appraisal, career planning, and manager development.
 - Staffing is recognised as an important body of knowledge.
 - Staffing is a managerial responsibility, not that of the personnel department.

The Systems Approach to Human Resource Management

External and internal sources are utilized in the process of recruitment, selection, placement, promotion, and separation.

- Internal Sources – personnel policies, organizational climate, reward system.
- External Sources – well trained, well educated, highly skilled managers.
- External Factors – PESTLE
- Internal Factors
 - Promotion from within
 - Principle of open competition